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Capital Goods | Europe

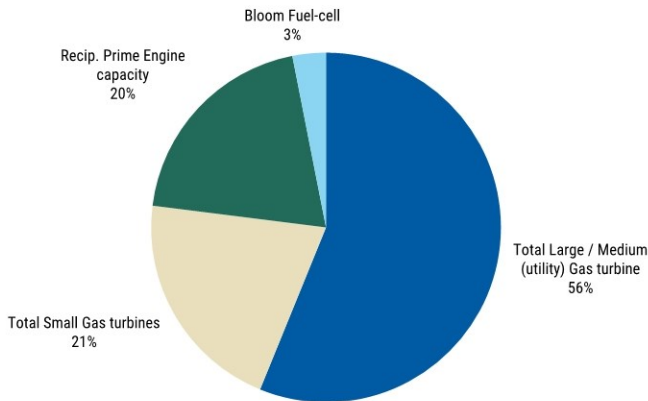
Weekly Widget: Gas Turbines/Engines – If you build it, they will come

We recalibrate our gas turbine supply model, now 146GW of 2030 supply vs 135GW previously. We estimate ~44% of this is targeting the BTM market, where overcapacity risk is greatest. The post 2030 ENR EBITA growth debate will persist, but there is a catalyst path into year-end. OW ENR, UW Wartsila.

Key Takeaways

- Gas turbine supply is back in focus after GEV's latest capacity additions. We are also seeing newer entrants, like FTAI, receiving validation with order wins.
- We update our gas turbine/power solutions supply model to 146GW by 2030 (prev 135GW). We update for GEV, ERock and Cummins.
- We split this into 1) mid to large turbines and 2) BTM (small turbines, recip, fuel-cell). We see a higher risk of BTM overcapacity, with 64GW of 2030 supply.
- ENR has less slot reservations vs GEV, and hence another ENR capacity increase is less likely. Industry price trends also point to upgrades on 2030 gas margins.
- Siemens Energy: We stay OW based on 1) upside risk on 3Q gas orders, 2) upward pressure on 2030 estimates from new targets, 3) undemanding valuation.

Exhibit 1: We increase our projected power solutions (gas turbines/prime power) supply to 146GW in 2030 of single cycle capacity (previously 135GW). We show a new split of this 146GW below, across mid-to-large utility scale turbines, small turbines, recip engines and fuel cells. We think at least ~64GW of capacity is targeting the 'behind the meter' data center market (small gas turbines, recip engines and fuel cells). This is where we see the greatest risk of oversupply.



Source: Morgan Stanley Research – Gas Turbine and Power Solutions Supply model

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Max R Yates Equity Analyst Max.Yates@morganstanley.com	+44 20 7425-1917
Sara Chemello Research Associate Sara.Chemello@morganstanley.com	+44 20 7425-2931
Harry Stephenson Research Associate Harry.Stephenson@morganstanley.com	+44 20 7425-0859
Sam Crean Research Associate Sam.Crean@morganstanley.com	+44 20 7677-1983

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Backdrop: Since we published our initial views on power solutions supply demand in early June, we have received significant investor commentary on the topic. Most recently, this week, GEV (covered by David Arcaro) announced a further 25% capacity addition in larger gas turbines with their 2Q26 results, albeit some of this would be used to service their installed base next decade. This was also in response to GEV's 2Q26 power order intake value more than doubling, and the company's gas turbine customers' commitments ([Exhibit 7](#)) now stretching into 2031. The capacity addition was viewed as a negative for Siemens Energy and raised questions on whether they would also respond with another capacity response later this year (we discussed this in a separate [report](#)). Simplistically, GEV's year-end customer commitments of 125GW are ~4x their future 30GW of capacity. ENR's year-end customer commitments of 90-100GW (combined cycle) are ~3x their existing capacity plan by 2030. We would argue that, based on Siemens Energy's visibility, they would be unlikely to see the same need as GEV for another round of capacity additions at the FY26 results.

Siemens Energy: New moon, or old moon. We think there is a misunderstanding around the idea that the key debate on the stock is 'peak orders' in 2026. We had previously highlighted that Siemens Energy could go through a 'digestion period' as the focus on the stock shifted from 'order beats' to potential margin upside and EPS growth. This has occurred, but it has not been the focus of our recent reports, nor do we think it is the primary debate on the stock. Instead, we are more focused on supply-demand conditions in Gas and Grid becoming less tight, with lead times first coming down in behind-the-meter solutions and later in mid-to-large turbines. Over time, this could have implications for EBIT margins into the 2030s and, before that, is likely to lead to a debate around the appropriate terminal margin to use when valuing these stocks.

As a reference point, Siemens Energy's 2030 EBITA margins in gas turbine new equipment and Grid Technology are expected to reach elevated levels of ~25%, compared with prior cyclical peaks of ~15% for these divisions. The key risk we have highlighted is that group EBITA growth between 2030 and 2035 could be curtailed by a moderation in Gas new equipment and Grid margins, offsetting continued EBITA growth from the gas services aftermarket. To be clear, we are not discussing a collapse in margins. Rather, we are considering a scenario in which Gas OE and Grid EBIT margins are around 20% by 2035 (still above prior peak levels), and this would be enough for Siemens Energy's group EBITA to show very limited growth between 2030 and 2035. In our view, this is what is putting downward pressure on Siemens Energy's 2030 multiple, rather than the debate around 'peak orders' in 2026. While forecasting that far ahead is inherently uncertain, we are often surprised by the level of conviction attached to EBITA estimates 10 years out in what have historically been highly cyclical industries.

Updating our 2030 gas turbine and power solutions capacity model: now 146GW of supply by 2030 (previously 135GW). We update our Power Solutions model in [Exhibit 2](#), with the key additions being 1) GEV's 6GW capacity add, 2) adding ERock, and 3) including an additional 1GW for Cummins after they signed a supply agreement. In this iteration of the model, we have grouped the power solutions into buckets, which we show in [Exhibit 1](#). Effectively, we view the mid to large turbines

as being more appropriate for utility scale applications, and here we see 82GW of supply by 2030. We would reference this back to the long-run market demand for gas turbines, which we show in [Exhibit 3](#). While we may be in a new paradigm of electricity demand growth, when we look at historical gas turbine orders in the last 25 years, this level of supply would be above order levels in all but five of the last 25 years – apart from 2000, 2001, 2007, 2025, and 2026. For the mid-to-large turbines, there are moving parts on supply demand, including how many data centers are using bridging power convert to larger gas turbines. GEV alluded to this trend on their 2Q26 conference call. Bottom line: While supply is rising, it is less clear cut that the mid-to-large gas turbine market is over supplied, in our view.

This then leaves 64GW total supply across small turbines, Recip engines and fuel cells, which are all focused on the 'US behind-the-meter' data center

opportunity. This is where we continue to see much higher risk of over capacity, and hence remain Underweight on Wartsila ([see our report](#)). We continue to argue that this level of equipment supply does not stack up with the amount of data centers being built in the US. If we are adding 50GW of data centers annually in the US by 2030, and ~15GW of this is connected to the grid, it leaves 35GW of BTM demand. There will be some redundancy, but some of this will also be served by Bitcoin miners. We struggle to reconcile the amount of eventual additions vs capacity, unless data center annual additions continue to grow well into the 2030s. Alternatively, the 2030 level of additions would need to be much higher than 50GW, which we would argue is unlikely, considering constraints around permits, labour and potential costs of the build out.

We are often asked about why capacity is still being added at this stage in the cycle. We see two strategies across companies on capacity. For the large turbine players like GEV, the decision is being driven by extensive visibility from customer commitments, as well as the belief that data center power demand will ultimately be served by large gas turbines (either replacing bridging solutions – eg engines – or once data centers connect to the grid). Then, for some of the alternative solutions providers (eg reciprocating engines), we see these expansions as having relatively low capex needs, and hence the return on these investments is compelling. We continue to believe that for engine manufacturers, the economics on these capacity expansions stack up, even if the opportunity does not run into perpetuity.

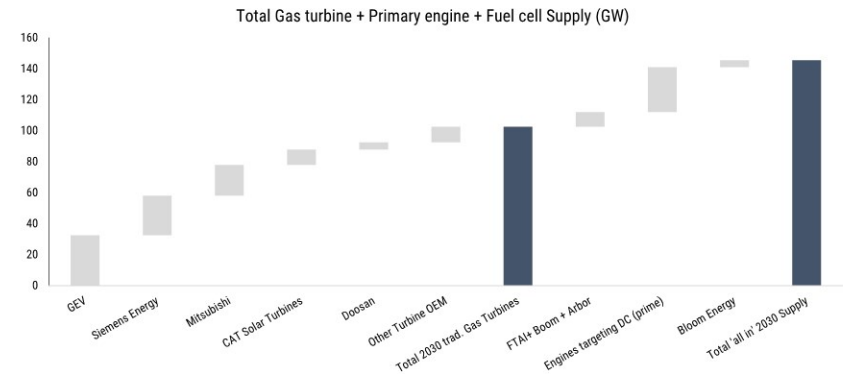
We have also seen important developments in gas turbine pricing (GEV) and backlog margins (Wartsila) this week. We show the pricing on GE Vernova's new power orders in [Exhibit 4](#), which was disclosed with the 2Q26 results. This quarter was favourably impacted by mix (high share of aero-derivative turbines), but overall GEV's commentary pointed towards total new order pricing being +46% YOY in 2026 (and more than 2x 2024 levels). We then show in [Exhibit 5](#) that the gap between what GEV are reporting and what we are embedding in our Siemens Energy forecasts is widening. In 2025, Siemens Energy's order price was implied at 24% lower than GEV on a \$ per KW basis, and our forecasts imply that this will have widened to 27% in 2026. Bottom line: Despite some concerns we have on longer-term margins, it seems clear for now that prices on orders are still going up as higher priced slot reservations convert into orders. The main implication for Siemens Energy is that gas services margins will rise to levels in 2030 that are higher than

we (25%) or consensus (24.2%) are forecasting. We would look for some discovery around this point on 11th November with Siemens Energy's new 2030 targets, as well as the annual disclosure on the increases in backlog margins. For Wartsila, the company disclosed that their energy new equipment backlog margins have increased by 500bps since the start of 2025. However, this does not change our view on the 2028 earnings power for Wartsila, and we still see less scope for Wartsila when compared to gas turbine peers, like Siemens Energy.

New entrants continue to receive validation of their solutions (FTAI). If you build it, they will come. This week, we have seen this with FTAI (covered by Kristine Liwag), which received a \$1.48bn power order (see [here](#) for our North America team's take). We also previously discussed the risks to Wartsila from Cummins and Hyundai entering the behind the meter market in a previous report ([LINK](#)). Essentially, we are still seeing equipment providers that have better lead times in winning new orders solutions, even if they have less of a track record in prime power. There are ongoing debates around cost competitiveness on different sizes of solutions and data centers, with the most recent LCOE update being from Bloomberg New Energy finance ([Exhibit 8](#)). However, we still think it is lead times that are the key driver of decision making in the industry, and here we see some of the behind-the-meter solutions providers, such as CAT and Cummins (both covered by Angel Castillo), as having an advantage.

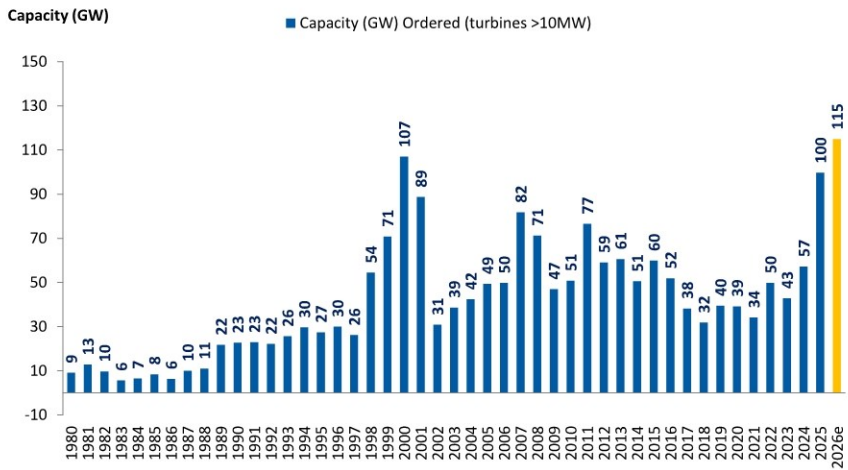
Siemens Energy's valuation. We continue to believe valuation is undemanding, and the nearer-term focus into year-end will be around 1) the potential for gas services orders to beat in fiscal 3Q26 results, given GEV's results (ENR reports on 4th August); 2) mid-term margin potential; and 3) strong pricing commentary on new orders. With this in mind, we find the current valuation of 12.4x 2028 EV/EBITA, a -50% discount to GEV, as undemanding. In addition, we expect consensus estimates to continue to grind higher, pushed up by continued strong pricing (gas service revenues) and a potential new group margin range of 19-21%.

Exhibit 2: We update our Gas Turbine and Power Solutions (primary power) Supply model. We increase our estimated supply to 146GW in 2030e (previously 135GW). The main drivers of the increase are 1) GE Vernova capacity increases, 2) ERock added to Engines, and 3) an extra 1GW of Cummins capacity after their order win. In [Exhibit 1](#), we show the 146GW split across mid-to-large (utility turbines), and solutions that are more appropriate for behind-the-meter primary power (small turbines, reciprocating engines and fuel cells).



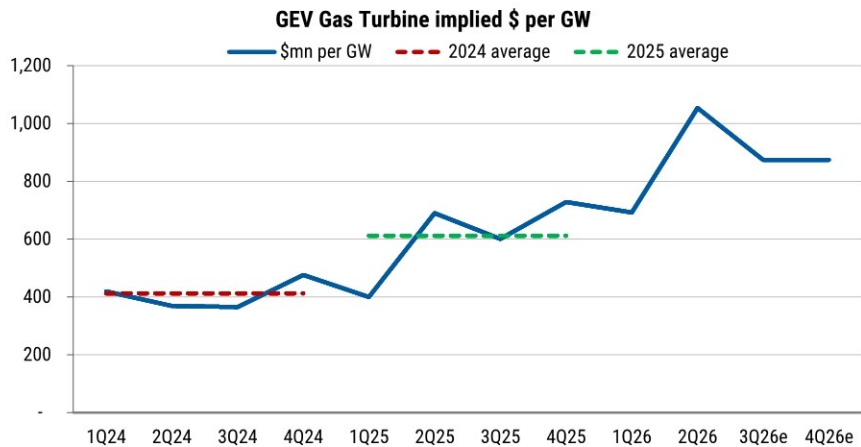
Source: Morgan Stanley Research – Gas Turbine and Power Solutions Supply model

Exhibit 3: Long-run history of Gas turbine orders (demand) - averages 42GW per year in 1980-2026. Against this, we think that 'mid-to-large' utility scale gas turbine capacity is increasing to ~82GW. While we are in a new electricity growth paradigm, and we are seeing 'coal / oil switching to gas', it is less clear that this market will be perpetually undersupplied into next decade.



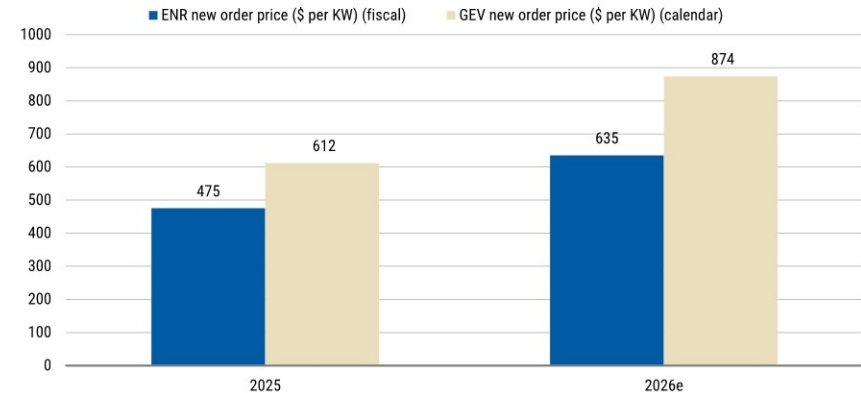
Source: McCoy

Exhibit 4: GEV gas turbine order pricing (\$ per KW). GEV's pricing on new orders was very strong in 2Q26 (due to mix), but in aggregate, management commentary implies that pricing on new orders will have increased +46% YOY in 2026 vs 2025. Average price per KW on new orders for GEV will also be >100% higher in 2026 versus 2024.



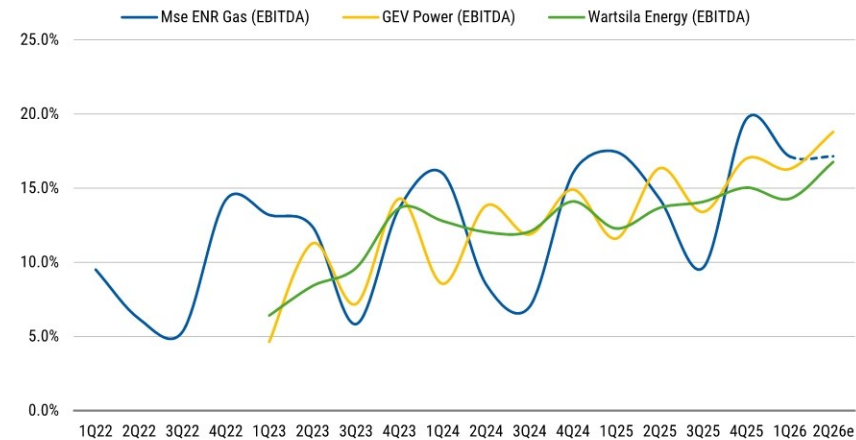
Source: Company data

Exhibit 5: Siemens Energy order pricing in 2025 and 2026 versus GEV. We estimate ENR pricing was running 22% below GEV on new orders, on a \$ per KW basis in 2025. Our forecasts (and consensus) may be too conservative on the price contribution to new orders in 2026. GEV's pricing will have stepped up by 43% YOY, while we only embed a 34% price increase on new orders for Siemens Energy.



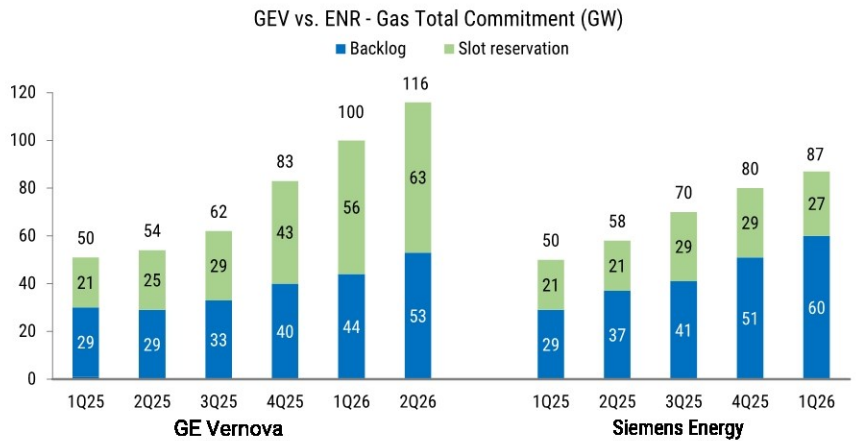
Source: Company data, Morgan Stanley estimates

Exhibit 6: ENR vs GEV vs Wartsila Gas Service Margins. GEV EBITDA margins have continued to move sequentially higher. We note ENR's margins are impacted by seasonality in 2H26. Based on backlog margin uplift, we believe Siemens Energy 2030 gas services EBIT margins will likely land in a 25%-30% range.



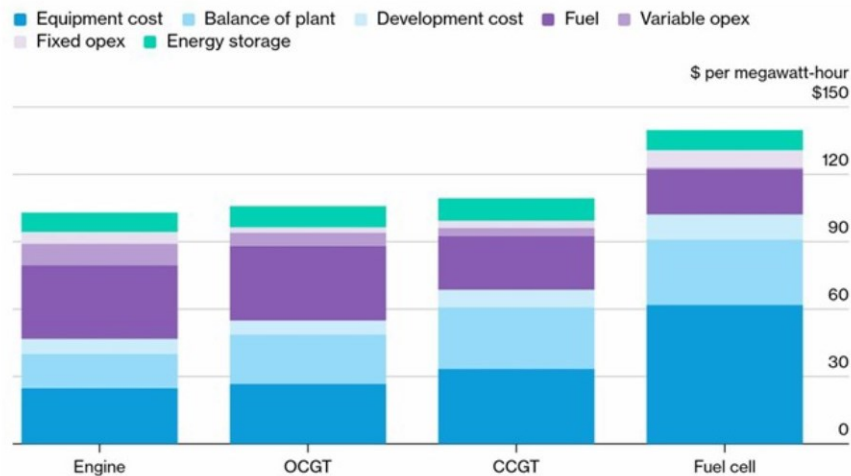
Source: Company Data, Morgan Stanley Research

Exhibit 7: GEV and ENR 'customer commitments' (backlog plus slots). GEV's current capacity is 20GW, going to 30GW by 2030. They expect customer commitments to end 2026 at 125GW (ie 4x their future capacity of 30GW). Siemens Energy has lower customer commitments relative to capacity, but a higher share of firm orders (backlog). Siemens Energy is expecting to end 2026 at 90-100GW of 'customer commitments' versus future (combined cycle) capacity of 30GW (ie ~3x future capacity).



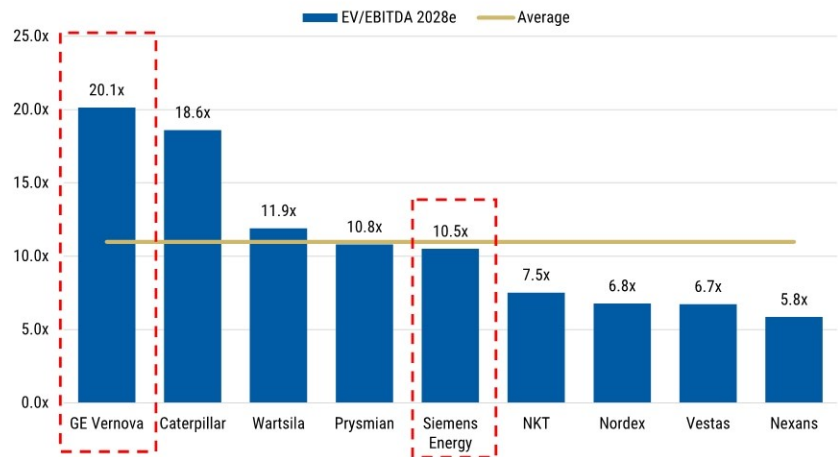
Source: Company data

Exhibit 8: Levelized cost of electricity of gas plant serving a 500MW data center. Wartsila presented a Bloomberg New Energy Finance chart showing that engines were now "slightly" more cost competitive than turbines for a 500MW data center. That said, they also acknowledged that other solutions (eg fuel cells) were still winning orders due to the customer priority remaining time to power and the relative lead times of different solutions. Wartsila are now booked out to 2029, which we think will result in fewer energy orders in the next 12mths, as some of their competitors quickly add capacity.



Source: Bloomberg New Energy Finance

Exhibit 9: 2028 EV/EBITDA. ENR is back to trading at a significant ~50% discount to GEV.



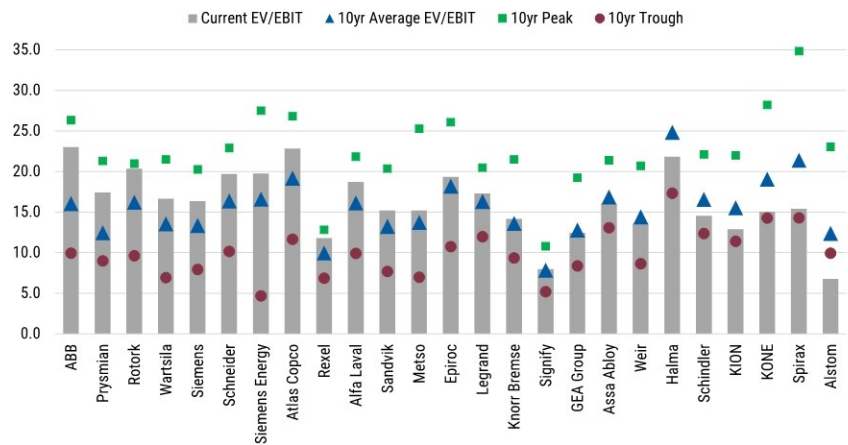
Source: Visible Alpha, Morgan Stanley Research

Exhibit 10: MS Key stock views for 2026.



Source: Morgan Stanley Research

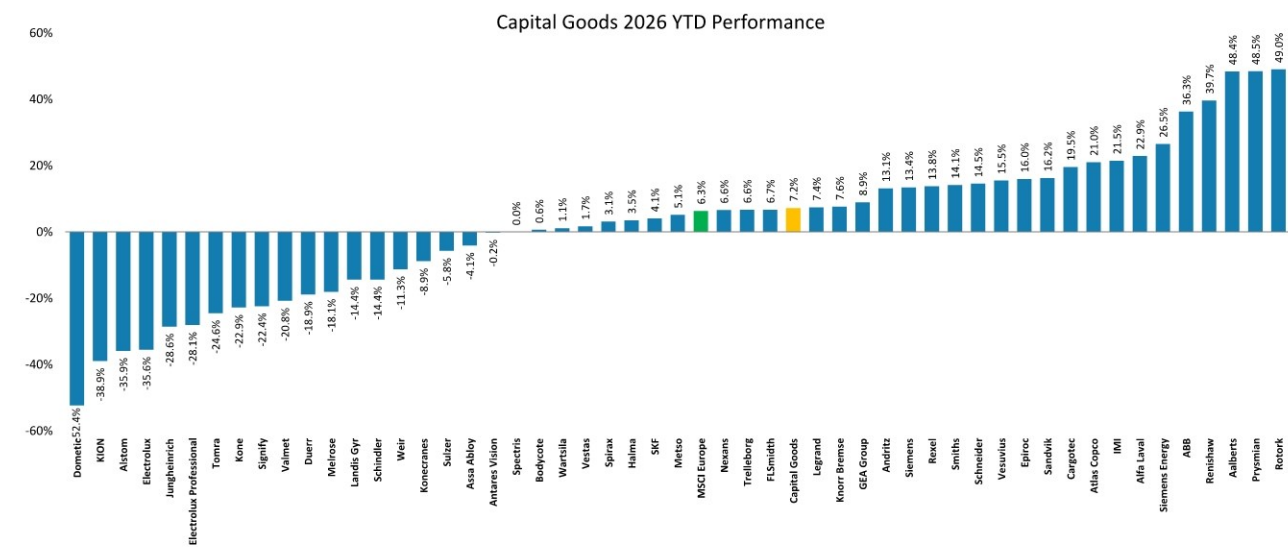
Exhibit 11: Cap Goods Valuations vs 10-Year Average (stocks on the left of the chart are more 'expensive' and are trading at higher premiums to their 10-year average EV/EBIT). ABB looks to have been impacted by 'travel and arrive' and we think Prysmian is also at risk of this. We think valuation risk reward is skewed positively at Knorr Bremse, Kion and Spirax.



Source: Refinitiv, Morgan Stanley Research. Updated as of close on 22/07/2026.

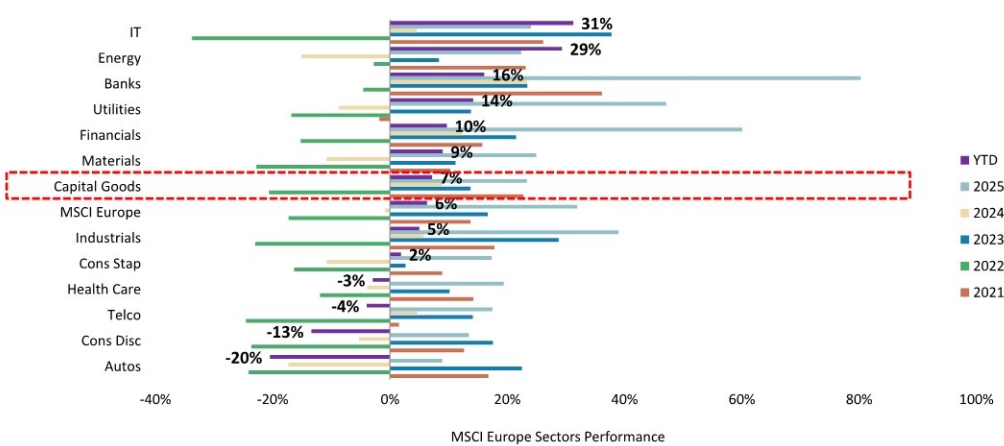
Dashboard

Exhibit 12: Capital Goods: 2026 YTD Performance



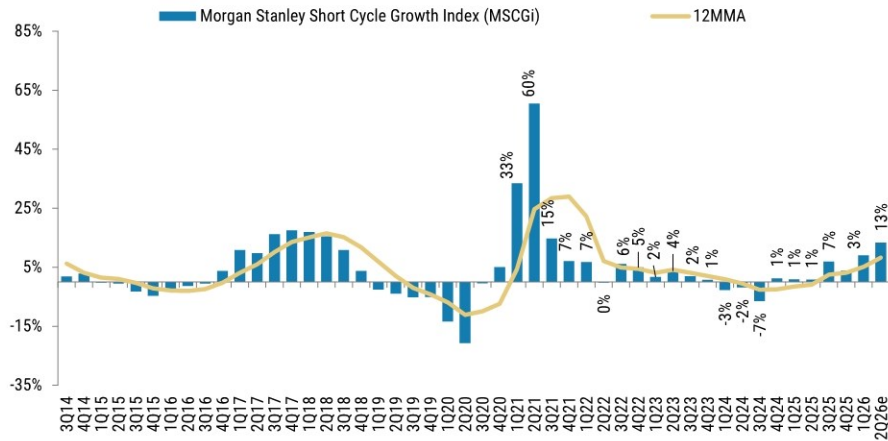
Source: Datastream, Morgan Stanley Research

Exhibit 13: Sector Performance



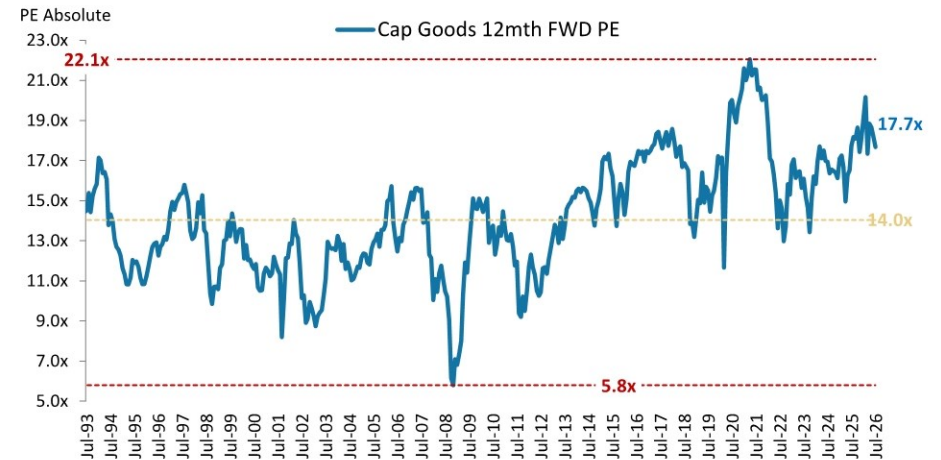
Source: Refinitiv, Morgan Stanley Research

Exhibit 14: MSCI



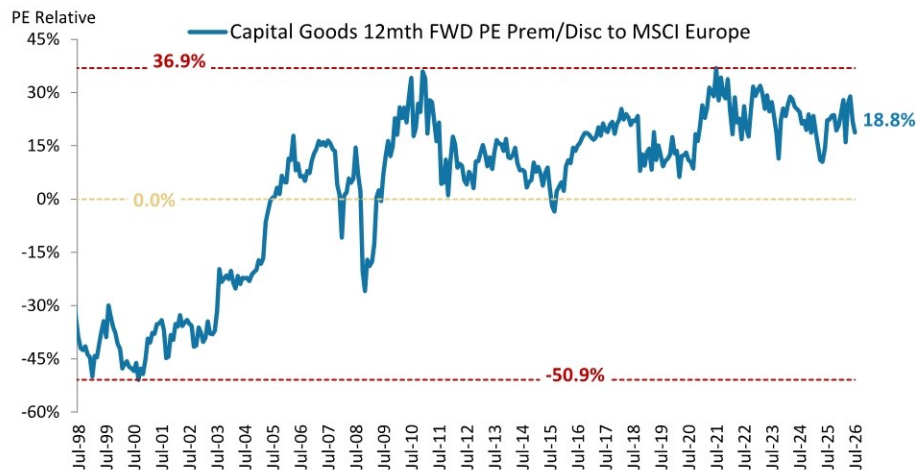
Source: Refinitiv, Company Data, Morgan Stanley Research estimates (e)

Exhibit 15: Capital Goods: Absolute P/E



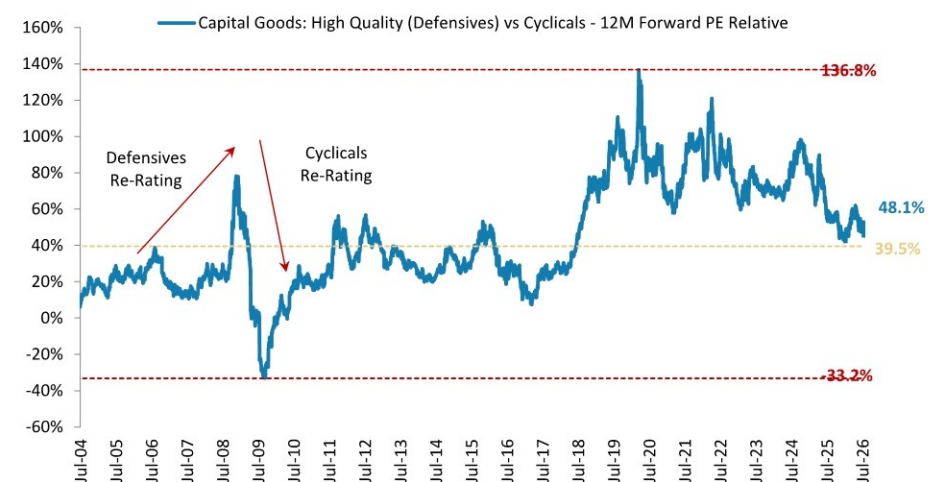
Source: Refinitiv, Morgan Stanley Research

Exhibit 16: Capital Goods: P/E Premium to MSCI Europe

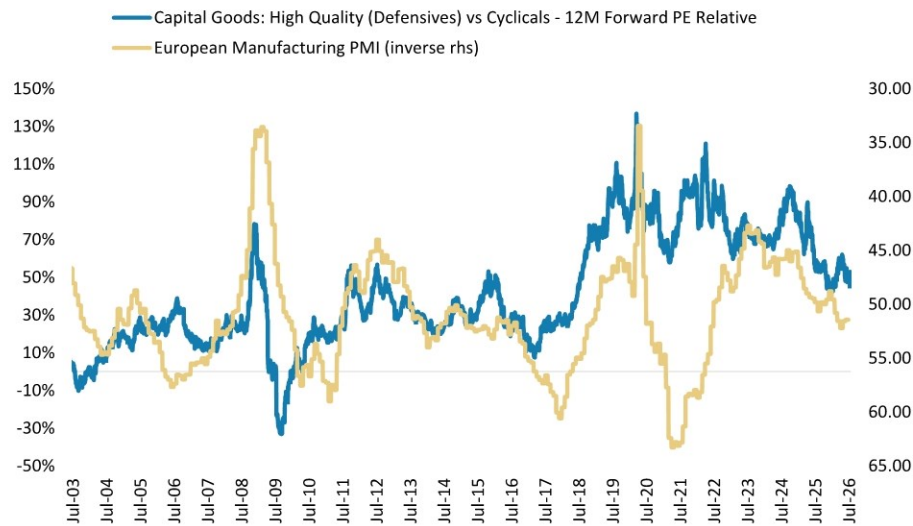


Source: Refinitiv, Morgan Stanley Research

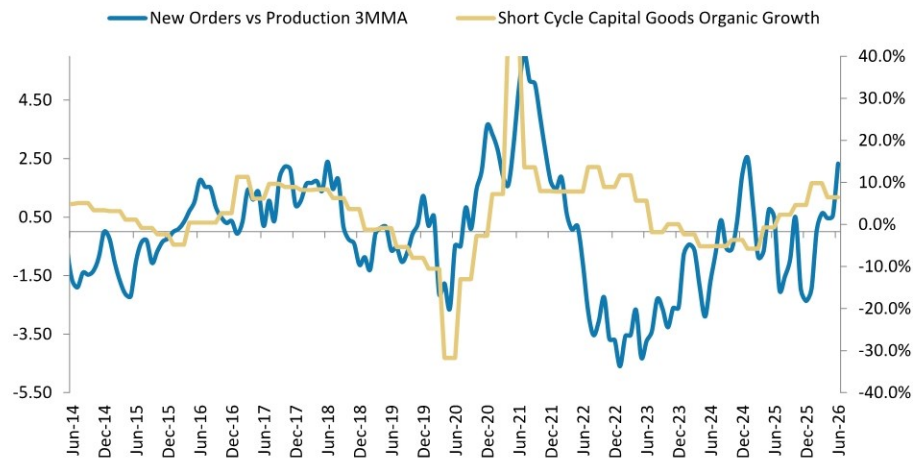
Exhibit 17: Quality versus Cyclical



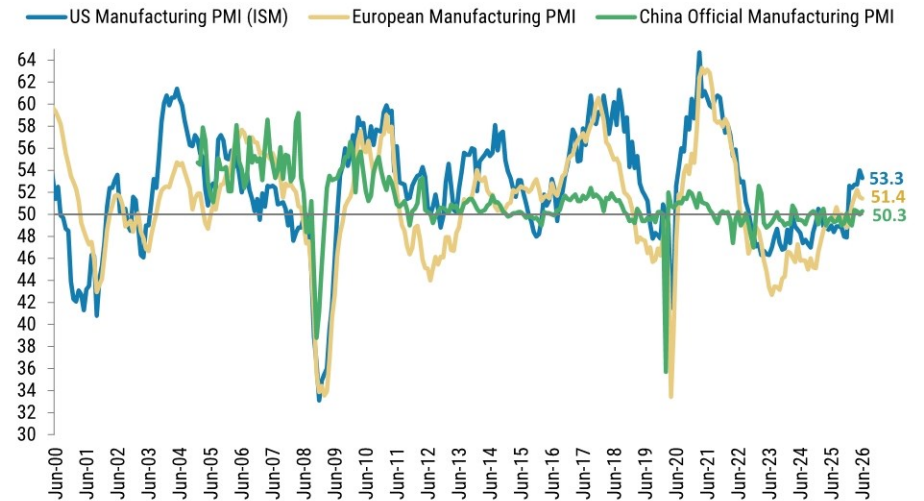
Source: Datastream, Morgan Stanley Research

Exhibit 11 Quality Premium versus Europe Manufacturing PMI

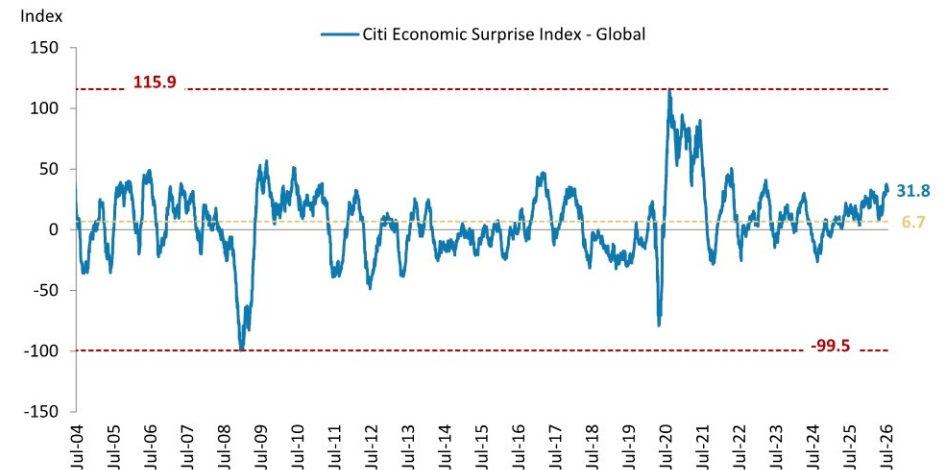
Source: Refinitiv, Morgan Stanley Research

Exhibit 19: US ISM: New Orders to Production

Source: ISM, Company data, Morgan Stanley Research

Exhibit 18: Global PMIs

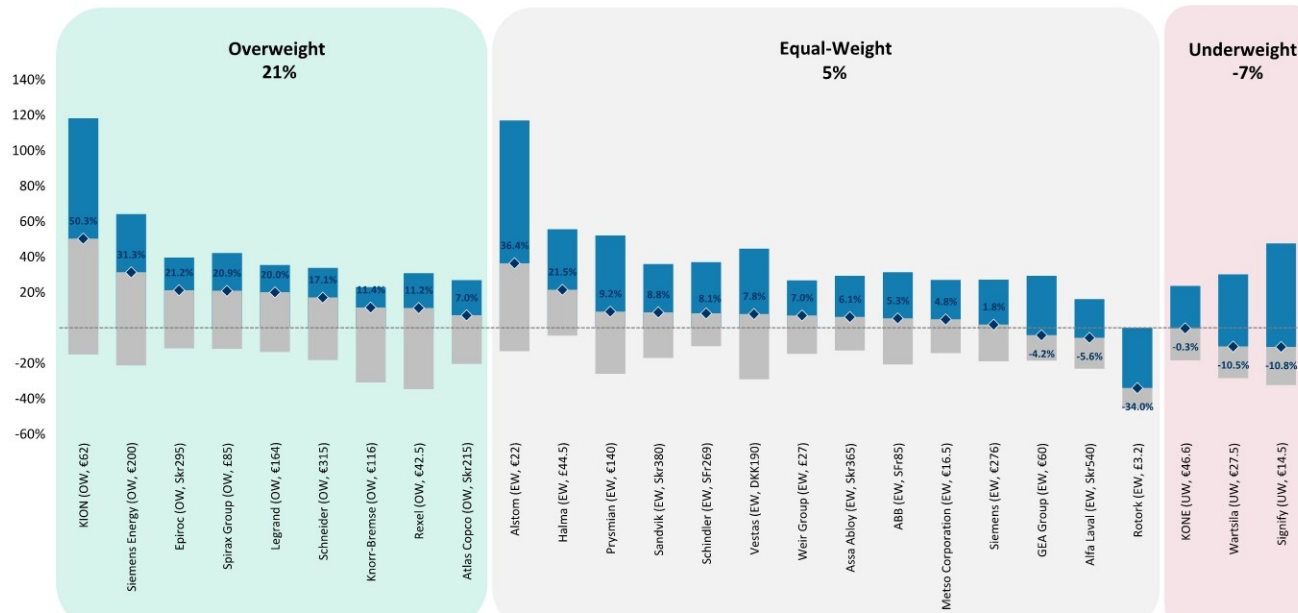
Source: Markit, ISM, Morgan Stanley Research

Exhibit 20: Economic Surprises

Source: Bloomberg, Morgan Stanley Research

Comparative Risk Reward

Exhibit 21: Capital Goods – Risk-Reward



Source: Refinitiv (share price data), Morgan Stanley Research estimates. Priced as of 22/07/26.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/23/2026)
Arthur Sitbon, CFA		
ITM Power (ITM.L)	O (04/29/2026)	107p
Luke Holbrook		
AutoStore Holdings Ltd-W/I (AUTO.OL)	E (08/15/2025)	NKr 11.34
Max R Yates		
ABB (ABB.N.S)	E (12/09/2024)	SFr 79.86
Alfa Laval AB (ALFA.ST)	E (03/05/2026)	SKr 576.80
Alstom (ALSO.PA)	E (12/07/2022)	€16.03
Assa Abloy AB (ASSAb.ST)	E (03/16/2020)	SKr 343.60
Atlas Copco (ATCOa.ST)	O (12/08/2025)	SKr 200.30
Epiroc AB (EPIRa.ST)	O (03/12/2026)	SKr 243.60
GEA Group AG (G1AG.DE)	E (06/23/2026)	€63.30
Halma PLC (HLMA.L)	E (11/22/2018)	3,650p
KION Group AG (KGX.DE)	O (07/07/2026)	€39.91
Knorr Bremse AG (KBX.DE)	O (12/08/2025)	€105.00
Kone Oyj (KNEBV.HE)	U (12/09/2024)	€47.58
Legrand (LEGD.PA)	O (03/28/2024)	€134.95
Metso Corporation (METSO.HE)	E (12/07/2022)	€15.60
Prysmian SpA (PRY.MI)	E (11/05/2024)	€126.10
Rexel S.A. (RXL.PA)	O (12/09/2024)	€37.54
Rotork PLC (ROR.L)	E (12/08/2025)	486p
Sandvik (SAND.ST)	E (03/12/2026)	SKr 343.90
Schindler Holding AG (SCHPS)	E (12/08/2025)	SFr 250.00
Schneider Electric (SCHN.PA)	O (10/27/2025)	€265.40
Siemens (SIEGn.DE)	E (10/14/2025)	€268.20
Siemens Energy AG (ENR1n.DE)	O (04/03/2023)	€150.46

Signify NV (LIGHT.AS)	U (12/08/2025)	€15.98
SKF (SKFb.ST)	++	SKr 254.80
Spirax Group PLC (SPX.L)	O (12/09/2024)	6,960p
Vestas Wind Systems A/S (VWS.CO)	E (05/05/2020)	DKr 176.45
Wartsila Oyj Abp (WRT1V.HE)	U (03/03/2026)	€30.58
Weir Group PLC (WEIR.L)	E (05/12/2025)	2,544p

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